Sahajanand Medical Technologies Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Surat-based maker of heart devices: coronary stents (Supraflex Cruz), balloons, TAVI heart valves (Hydra) and occluders, plus traded imaging products like IVUS. It sells to hospitals and cardiologists in about 70+ countries, with direct sales teams in big European markets, and earns most of its money on its own high-margin devices.

Number	Value	What it means
Market cap	Rs 5,060 cr	What the market values the whole company at (Screener).
Q2 FY27 revenue	About Rs 373 cr	Record quarter, up 24.7% on last year; about 16% of that is real growth, the rest came from a weaker rupee.
Q2 FY27 EBITDA	Rs 65 cr, margin 17.6%	Operating profit up 36.6%, faster than sales, as the existing sales force sold more.
Q2 FY27 profit	Rs 26 cr	Up 26.6%. Tax rate is high at about 35% because Spain, Brazil and Germany tax more.
Borrowings	Rs 300 cr; net debt about Rs 223 cr	About one year of operating profit; manageable.
Stock P/E	127x	Very expensive on trailing profit (Screener).

2. Concall coverage

Quarter	Date	Transcript read?
Q2 FY27	5 Nov 2026	Yes, read in full ★ (first call as a listed company)

Only one concall exists: SMT listed recently and this was its first earnings call. The consistency read is therefore very limited; there's no earlier promise to check.

Latest concall highlights: Q2 FY27 (5 Nov 2026)

- Record revenue, EBITDA and profit. Growth came from all three product groups: stents and balloons (58% of H1 revenue) up 16%, structural heart (TAVI and occluders) up about 40% in Q2, other products up 52% in H1, mostly IVUS imaging sold in Europe.
- Guidance: constant-currency revenue growth in the mid to high teens this year and next; EBITDA margin up 150-200 basis points a year, from 14.1% in FY26 to about 20% by FY29. Capex about Rs 70 cr a year.
- New launches: Sironity drug-coated balloon now sold in India; next-generation Hydra TAVI valve and delivery system expected 'as early as Q3, though hopefully no later than Q4' of FY27. PTCA catheters to launch in FY28.
- Supraflex Cruz got EU MDR certification; four more product families (Pipit NC, Pipit SC, Hydra, Cocoon) are in process ahead of the end-2027 deadline.
- Tone: confident, and the MD promised to report the same KPIs every quarter 'so that you can measure our delivery against our commitments'.

Business mix & capacity

Domestic vs export: H1 FY27: Rest of world 40% of revenue, Europe 36%, the rest India (about a quarter). So roughly three quarters of sales are outside India.

Capacity use: H1 FY27 stent line use: 79% at Surat, 20% at the new Telangana plant; balloons 72% at Surat, 57% at Telangana; new drug-coated balloon line at Surat 40%. Management says current capacity lasts at least a year and a half, with Telangana giving room to grow without big capex.

3. Earning Trigger thesis

Management's story is operating leverage. SMT already paid to build direct sales teams in Spain, Poland, Germany and France; those teams are in place, so as they sell more stents, TAVI valves and traded IVUS through the same doctors, costs grow slower than sales. That's already showing: employee and other costs fell as a share of revenue and EBITDA grew about 37% in Q2. On top sits structural heart (TAVI and occluders), a bigger and faster-growing market where SMT's Europe TAVI share is only about 1.5%, and a new-generation valve due by Q4. The Telangana plant is mostly empty, so growth needs little new capex. Risks: growth leans partly on the rupee and on lower-margin traded products, and gross margin fell.

Trigger	What management said	Evidence so far	Time horizon	Strength
European operating leverage	Teams already built; salaries grow 3-5%, revenue much faster	Employee cost down from 28.8% to 27.1% of revenue; EBITDA margin 16% to 17.6%	FY27-FY29	Strong, in the numbers
Margin path to about 20% by FY29	150-200 basis points a year from 14.1% in FY26	H1 FY27 EBITDA margin 15.7%, on track for the first year	FY27-FY29	Moderate, only one quarter of record
Structural heart and new Hydra TAVI	Next-gen valve and AVDC system launch Q3-Q4 FY27; TAVI not yet approved in Brazil	Structural heart up about 40% in Q2	FY27-FY28	Moderate, launch pending
Telangana plant ramp	Room to grow without proportional capex	Stent line only 20% used there	2-3 years	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not discussed; net debt about Rs 223 cr, close to 1x EBITDA.
New business	Yes	Sironity drug-coated balloon commercialised in India; next-gen Hydra TAVI due Q3-Q4 FY27 (5 Nov 2026).
Margin up	Yes	EBITDA margin up 154 basis points in Q2 from operating leverage; guidance of 150-200 basis points a year to about 20% by FY29 (5 Nov 2026).
New management	No	No change mentioned.
New capacity	Yes	Telangana plant ramping: stents 20%, balloons 57% used; new drug-coated balloon line at Surat at 40% (5 Nov 2026).
Big orders	No	No order book; sells device by device to hospitals.
Turnaround	No	Not a turnaround.
Promoter buying	No	Not mentioned.

The single concrete driver: Direct sales teams already built in big European markets are selling more stents, TAVI valves and IVUS without adding staff, so profit grows faster than sales.

3c. Margin bridge

EBITDA margin rose to 17.6% in Q2 from 16% a year ago because employee and other costs fell as a share of sales while the European teams sold more. Gross margin went the other way, down about 170 basis points in H1 to 74.3%, mostly because lower-margin traded products like IVUS grew faster, plus higher input and labour costs. Management guides further yearly gains (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q2 FY27 (first call)	Mid to high-teens constant-currency growth for FY27	Q2 constant-currency growth about 16%, H1 about 15%	Too-early
Q2 FY27 (first call)	EBITDA margin up 150-200 basis points in FY27 from 14.1%	H1 FY27 margin 15.7%	Too-early
Q2 FY27 (first call)	Next-gen Hydra TAVI and AVDC launch by Q4 FY27	Not yet launched	Too-early
Q2 FY27 (first call)	Working capital down by about 15 days over three years	128 days in H1 FY27 vs 138 in FY26	Too-early

Narrative drift: There's no history to drift from, since this was the first call. The story told was clear and specific, with numbers attached to growth, margin, capex and launch dates, which gives future quarters something concrete to score.

5. Bottom line

Durable earning trigger? → YES

A named, concrete driver that's already in the results: the European sales teams are in place and profit grew far faster than sales this quarter. The new TAVI valve and the empty Telangana capacity add more if they come through.

Management consistent? → MAYBE

Only one call, so there's no record yet. They gave clear, checkable targets and promised to report the same KPIs every quarter. The next few quarters decide this.

6. Checkpoints for next quarter

- Next-gen Hydra TAVI and AVDC delivery system launch by Q4 FY27
- EBITDA margin keeps rising on last year
- Constant-currency revenue growth stays in the mid teens or better

This is not investment advice. Do your own due diligence.